

# Investors, Funding & Capital

Knowledge base for Startup AI Agent — India/Karnataka focus

## 1. Main funding categories

Bootstrapping uses founders' own money or operating revenue. It can preserve ownership but may limit the speed of growth.

Angel investment is generally associated with individual investors who invest in early-stage companies. Venture capital is generally aimed at startups with significant growth potential and a path to larger-scale expansion.

Debt or loans provide capital that generally must be repaid. Government-supported funding may provide grants, seed support, credit support or other assistance subject to the scheme's rules.

## 2. Startup India funding ecosystem

The Startup India portal highlights the Seed Fund Scheme, Startup India Investor Connect and Fund of Funds as funding-related initiatives. Startup India Investor Connect is described as a platform connecting startups with investors to facilitate investment opportunities.

Fund of Funds works through Alternative Investment Funds (AIFs) rather than simply giving founders a direct grant. The entrepreneur should check the current official program details and participating channels.

## 3. Match funding to startup stage

Idea stage: focus on validation, bootstrapping, competitions, grants and suitable incubator/seed support.

Prototype stage: focus on product validation, pilot customers, seed funding, incubators and relevant government programs.

Early traction: focus on revenue/traction, angel investment, seed/early VC and strategic partnerships.

Scaling: focus on larger VC rounds, strategic investors, debt where appropriate and expansion support.

## 4. What to prepare before approaching investors

Prepare a concise pitch deck covering the problem, solution, target customer, market opportunity, business model, competitive landscape, traction, technology, team, funding requirement and use of funds.

Prepare evidence: prototype/demo, customer feedback, revenue or usage metrics where available, unit economics or financial assumptions, intellectual-property position where relevant, and a realistic growth plan.

## 5. How the chatbot should answer investor questions

Ask the entrepreneur for stage, sector, location, funding amount, traction and business model. Then suggest the appropriate funding category first, followed by relevant official platforms or verified investor sources.

The chatbot should never promise that an investor will fund the startup. It should explain that investment depends on due diligence, investor fit, market opportunity, team, traction and other factors.

## 6. Official sources

Startup India funding: <https://www.startupindia.gov.in/>

Startup India Investor Connect is listed on the Startup India portal under Funding.

Startup India Seed Fund Scheme: <https://seedfund.startupindia.gov.in/>

Important: Government schemes, eligibility, application windows, funding amounts and policies can change. This document is a knowledge-base summary, not legal or financial advice. Users should verify current details on the official source before applying.